

28 Risk measurement & reporting

7 primary questions | Oldest to newest

2026 objectives: 3.4, 5.3.2

6 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2010 Q4	12 marks
CA1-P2 April 2011 Q4	12 marks
CA1-P2 April 2012 Q1	7 marks
CA1-P2 September 2013 Q2	10 marks
CA1-P2 April 2016 Q1	6 marks
CA1-P2 April 2018 Q4	10 marks
CA1-P2 September 2018 Q7	18 marks

CA1-P2 | April 2010 | Q4

Current topic | 12 marks total | Original PDF p3

Related: Ch 30.

- 4**
- (i) Explain the term Value at Risk (VaR). [2]
 - (ii) Outline the limitations of VaR as a method of measuring risk. [4]
 - (iii) Define the Expected Shortfall as a measure of risk. [2]
 - (iv)
 - (a) Outline two examples of low probability, high impact risks that exist for a small manufacturing company in terms of how they would affect its business.
 - (b) Suggest how these risks could be mitigated. [4]
- [Total 12]

CA1-P2 | April 2011 | Q4

Current topic | 12 marks total | Original PDF p3

Related: Ch 17.

- 4** (i) Describe scenario analysis, stress testing and stochastic modelling. [4]

A large international insurance company has offered insurance to the agricultural sector for a number of years. With increasing concerns about the potential impact of climate change, the company is considering the ways it can improve its risk modelling.

The company has a large amount of data collected over ten years of providing this insurance. The format of the data varies between different territories.

- (ii) Discuss the suitability of each approach described in part (i) for the company's risk modelling. [8]

[Total 12]

CA1-P2 | April 2012 | Q1

[Current topic](#) | [7 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

1 Compare and contrast the following risk measures:

- value at risk (VaR) and
- tail value at risk (Tail VaR)

[7]

CA1-P2 | September 2013 | Q2

Current topic | 10 marks total | Original PDF p2

Related: Ch 24, Ch 26.

- 2** Random Life is a large insurance company which operates as a number of business units specialising in different product types. A business unit selling term assurance wants to assess the capital required to protect it against ruin with a given ruin probability of 0.5% within one year.
- (i) Summarise the main issues facing this business unit in completing the assessment. [3]
 - (ii) Explain the main risks to this unit that could cause ruin at the assumed level of probability. [4]

Random Life also sells annuity business and unit-linked savings products.

- (iii) Discuss the reporting systems that Random Life would want to set up to manage the risk across the entire business. [3]
- [Total 10]

CA1-P2 | April 2016 | Q1

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- | | | | |
|----------|------|--|-----------|
| 1 | (i) | Describe “Value at Risk”. | [3] |
| | (ii) | Outline using formulae “Expected Shortfall”. | [3] |
| | | | [Total 6] |

CA1-P2 | April 2018 | Q4

Current topic | 10 marks total | Original PDF p2

Related: Ch 17, Ch 1.

- 4** (i) Describe the following:
- (a) scenario analysis
 - (b) stress testing
 - (c) stochastic modelling

[3]

An insurance company has recently adopted a new stochastic model to determine its capital requirements. The results of the new model show that the company needs to hold less capital than was calculated under the previous model. An actuary has recently started working for the insurance company and has expressed concern that the capital requirement is much lower than he was expecting.

- (ii) Discuss the actions the actuary should take.

[7]

[Total 10]

CA1-P2 | September 2018 | Q7

Current topic | 18 marks total | Original PDF p5

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date.

- 7**
- (i) Outline reasons why it is important for insurance companies to measure their risks. [4]
 - (ii) Define Value at Risk (VaR). [1]
- An insurance company regularly measures the risks it faces for its business.
- (iii) Explain how Value at Risk (VaR) would be calculated given the results of a stochastic simulation of the risks. [2]
 - (iv) Discuss the usefulness of VaR as a method of quantifying the insurance company's risks. [6]
 - (v) Explain the limitations of VaR in other circumstances. [2]
 - (vi) Compare the usefulness of VaR and Tail VaR as methods of measuring risk. [3]
- [Total 18]